

Residual Income · EVA · Free Cash Flow — Mind Map

Calculation format · when to use · pros & cons — for evaluating / redesigning an incentive scheme (e.g. Diamante)

VALUE & CASH MEASURES

reward real value / cash, not accounting profit — RI & EVA share NOPAT and net investment

1 · Residual Income (RI)

CALCULATION FORMAT

$$RI = NOPAT - (WACC \times \text{net investment})$$

$NOPAT = (PBT + \text{interest}) \times (1 - \text{tax})$
 $\text{Net inv.} = \text{equity} + \text{long-term liab.}$
e.g. $100 - (10\% \times 500) = \mathbf{R50}$

PURPOSE / WHEN TO USE

Reward **value earned above the cost of capital**. Best for a **division or per-mine** value reward, where you want any project beating WACC to be taken.

PROS

- Simple to calculate and explain
- Fixes the ROI trap (won't reject good projects)
- Negative RI clearly flags value destruction → no bonus

CONS

- Absolute rand figure → hard to compare different-sized divisions
- Still built on accounting profit (non-cash distortions)

2 · Economic Value Added (EVA)

CALCULATION FORMAT

$$EVA = (NOPAT \pm \text{adj.}) - WACC \times (\text{net inv.} \pm \text{adj.})$$

Adjust: capitalise brand/R&D & leases,
add back non-cash provisions,
risk-adjust WACC per division.
e.g. RI 50, add back R40 brand spend

PURPOSE / WHEN TO USE

Reward **long-term shareholder value** after adjustments. Best as an **executive long-term incentive**, with a **bonus bank**.

PROS

- Purpose-built to measure value added to owners
- Adjustments discourage short-termism (cutting R&D/marketing)
- Bonus bank retains & forfeits reward in bad years

CONS

- Adjustments are complex & judgemental
- Very sensitive to the WACC chosen

3 · Free Cash Flow (FCF)

CALCULATION FORMAT

$$\text{Simple} = \text{op. cash flow} - \text{sustaining capex}$$

$FCFF = \text{op. profit} \times (1 - \text{tax}) + \text{D\&A}$
 $\quad - \text{capex} - \text{working capital}$
 $FCFE = FCFF - \text{after-tax interest} + \text{net borrowing}$
e.g. $100 - 30 = \mathbf{R70}$

PURPOSE / WHEN TO USE

Reward **actual cash generated**. The **most important measure when survival & refinancing** are the priority — i.e. Diamante now.

PROS

- Rewards real cash → keeps company solvent
- Hard to manipulate (based on cash, not profit)
- The key measure in a going-concern / refinancing situation

CONS

- Can be reduced by necessary capex
- Cutting essential capex can flatter it short-term

NOPAT & net-investment conventions and the RI/EVA method are from the IAC MAF performance-evaluation notes; tax factor at 27% = 73%. For Diamante: use RI/EVA to reward value and FCF to reward survival cash; attach a bonus bank and tier the measures (execs on group EVA/FCF, mine managers on own RI/cash).